

spent debating the data because, in the end, the arguments that carried the day could have been made right at the start. It was as if each advocate sensed that he or she was about to be ambushed; if another team managed to bring clarity to the situation, it might undermine that person, and so the rational response was to obfuscate as much as possible. What a waste.

Ironically, meetings like this had given data-driven decision making and experimentation a bad name inside the company, and for good reason. The data warehousing team was producing reports that nobody read or understood. The project teams felt the experiments were a waste of time, since they involved building features halfway, which meant they were never any good. “Running an experiment” seemed to them to be code for postponing a hard decision. Worst of all, the executive team experienced the meetings as chronic headaches. Their old product prioritization meetings might have been little more than a battle of opinions, but at least the executives understood what was going on. Now they had to go through a ritual that involved complex math and reached no definite outcome, and then they ended up having a battle of opinions anyway.

Rational Fears

However, at the heart of this departmental feud was a very rational fear. This company served two customer segments: a business-to-business enterprise segment and a consumer segment. In the B2B segment, the company employed sales staff to sell large volumes of the product to other companies, whereas the consumer segment was driven mostly by one-off purchases made by individuals. The bulk of the company’s current revenue came from B2B sales, but growth in that segment had been slowing. Everyone agreed there was tremendous potential for growth in the consumer segment, but so far little had materialized.

Part of the cause of this lack of growth was the current pricing structure. Like many companies that sell to large enterprises, this